

I always had trouble expressing my displeasure to any of my brokers. I could yell at a clerk who shortchanged me a quarter or a repairman who padded the bill for a few extra dollars, but the broker who'd lost me hundreds I was reluctant to confront, as if it were my fault the stocks went down. This next-to-last broker I dreaded even calling. The more stocks faltered, the more I'd get clammy hands and a lump in my throat, and tremble at the thought of facing him on the telephone. Facing him in person was almost unthinkable. No love affair can have more neurotic complications than the relationship between a client and his broker, and this should be explored by psychologists. It took months before I had the courage to break up.

That was in 1985. What I thought I needed, of course, was a new broker. By then there were 70,000 of them at work in the nation, or double the number from the last time I'd been forced to look. In my neighborhood, whatever failed computer stores and hair salons hadn't been replaced by banks were replaced by Paine Webbers or Merrill Lynches. It had become easier to get advice on a stock at any hour of the day or night than it was to get a pizza.

The increase in brokers, which far exceeded any increase in the population as a whole, meant one of two things. Either there were millions of new investors, or else a lot of old investors were looking around for better advice. From my own experience, I suspected the latter.

In the past, my wife and I had chosen our various brokers as follows. At a party, we'd run into friends who'd be bragging about the money they'd made in the stock market, and we'd get the name of their broker. The next business day, we'd drive to the Dean Witter or whatever firm their broker represented, to tell him or her the sad stories of our previous brokers and how we deserved better. The new broker would nod sympathetically. After a 15-minute chat, we'd hand over all our money.

That's the truth, and I doubt it's unusual. Friends of ours who wouldn't risk two dollars at a racetrack hand over their inheritance to strangers at Smith Barney. People who spend a week choosing a furniture refinisher will sign up with the first E. F. Hutton broker who calls. People who circle junkyards looking for a matching